

Private Equity Fund Setup Report

1. Sector Specific or Sector Agnostic Fund

For my Private Equity (PE) fund, I would establish a **sector-specific fund focused on Climate Technology and Sustainable Infrastructure in India**. This includes renewable energy, EV infrastructure, battery technology, waste management, water solutions, green logistics, and energy efficiency platforms.

India is currently witnessing a structural transition toward sustainability due to government initiatives such as renewable energy targets, net-zero commitments, electric mobility incentives, and ESG-focused regulations. These developments create strong long-term growth opportunities for businesses operating in climate-tech related sectors. A sector-specific fund would allow deeper industry expertise, stronger networks, and better investment decisions compared to a sector-agnostic approach.

Unlike sector-agnostic funds that require broad knowledge across industries, a climate-focused fund can build specialized capabilities in evaluating technologies, regulatory risks, infrastructure scalability, and carbon economics. This specialization also improves portfolio monitoring and operational support for investee companies.

Another advantage of a sector-specific strategy is the ability to attract investors who already understand sustainability businesses and can contribute strategic value beyond capital. Entrepreneurs in clean technology often require policy guidance, industry partnerships, and technological mentoring in addition to funding. A focused PE fund can create an ecosystem where investors, founders, regulators, and industry experts collaborate efficiently.

The Indian climate-tech market remains underpenetrated despite strong demand growth. Therefore, investing in scalable businesses during this transition phase could generate substantial long-term returns while also contributing positively to environmental and social development. The fund would aim to balance profitability with sustainable impact, making it attractive to both financial and strategic investors.

2. Potential HNIs and Family Offices

The success of a PE fund depends heavily on the quality of its investors and strategic advisors. Since my fund focuses on climate technology and sustainable infrastructure, the selected HNIs and family offices would ideally possess experience in energy, infrastructure, technology, and sustainability.

High Net Worth Individuals (HNIs)

Nikhil Kamath

Nikhil Kamath has actively invested in climate-tech and sustainable startups through his investment initiatives. His interest in long-term disruptive sectors and technology-driven businesses makes him a suitable investor for the fund. His network within India's startup ecosystem could help source innovative early-stage climate ventures.

Kris Gopalakrishnan

Kris Gopalakrishnan has invested significantly in deep-tech and innovation-led businesses. His strong understanding of technology scaling and governance can help evaluate climate-tech startups that rely heavily on software, AI, and analytics for operational efficiency.

Anand Mahindra

Anand Mahindra has been vocal about electric mobility, clean energy, and sustainable urban development. Through the Mahindra Group's experience in EVs and renewable projects, he can provide valuable operational insights and strategic partnerships to portfolio companies.

Harsh Mariwala

Harsh Mariwala is known for backing innovative consumer and sustainability-focused businesses. His expertise in scaling organizations, branding, and governance would benefit startups moving from commercialization to growth stages.

Kunal Bahl

Kunal Bahl has invested in multiple technology startups across India. His experience in scaling digital businesses and evaluating startup teams would add value to climate-tech ventures that combine software and infrastructure solutions.

Family Offices

Catamaran Ventures

Catamaran Ventures has invested across technology, sustainability, and innovation-driven businesses. Their flexible investment philosophy and long-term orientation make them ideal institutional partners for a climate-focused PE fund. They can provide mentorship, governance expertise, and strategic guidance to portfolio companies.

RNT Associates

RNT Associates has consistently shown interest in clean energy, mobility, and sustainable innovation. Their reputation, network, and investment experience would increase the credibility of the PE fund and help attract co-investors. Additionally, their focus on socially

impactful businesses aligns strongly with the objectives of a sustainability-focused investment platform.

Together, these investors bring not only capital but also strategic guidance, operational expertise, technological understanding, and strong industry networks. Their involvement would improve the fund's ability to identify high-quality opportunities and scale portfolio companies successfully.

3. Type of Private Equity Investments

The PE fund would primarily focus on companies in the **commercialization stage and early growth stage** of the business lifecycle. These stages provide an attractive balance between risk and return, particularly in climate-tech sectors where innovation and scalability are critical.

Commercialization Stage

At this stage, companies usually possess a functioning product or technology but require funding to establish market presence and scale operations. Climate-tech startups often face challenges related to customer acquisition, infrastructure deployment, and regulatory approvals. By investing at this stage, the fund can support businesses in achieving product-market fit and building sustainable revenue streams.

Although the risk is relatively high, the return potential is also significant because valuations remain moderate before large-scale expansion begins. Early support can also allow the fund to influence governance, strategy, and operational efficiency.

Early Growth Stage

The fund would place greater emphasis on early growth-stage businesses. At this stage, companies have validated their business models and demonstrated revenue potential but require expansion capital. These firms are less risky than early-stage startups while still offering strong upside potential.

Climate-tech businesses often require substantial capital expenditure to scale infrastructure and operations. PE investments can accelerate growth through funding, strategic partnerships, and operational support. Additionally, increasing ESG investments globally improve exit opportunities through acquisitions, IPOs, or strategic sales.

Therefore, focusing on commercialization and early growth stages allows the fund to capture high-growth opportunities while maintaining manageable investment risk.

4. Preferred Method of Scouting Companies

The primary scouting method implemented by my PE fund would be **institution-driven scouting through incubators, accelerators, and climate innovation platforms**.

Climate-tech businesses are highly innovation-driven and often emerge from research institutions, sustainability accelerators, university labs, and startup incubation centers. These institutions act as early ecosystems where entrepreneurs refine their business models, technologies, and operational strategies before entering larger markets.

Collaborating with incubators and accelerators would allow the fund to identify promising startups at an early stage. These organizations already conduct preliminary screening and mentoring, which improves the quality of startups entering the investment pipeline. In addition, founders associated with reputed institutions generally possess better technical capabilities and structured business plans.

Another major advantage of institution-driven scouting is access to specialized innovation networks. Climate-tech sectors such as battery storage, carbon capture, renewable infrastructure, and water management require technical expertise that traditional scouting methods may fail to identify effectively. Innovation hubs provide direct exposure to these emerging technologies and market trends.

The PE fund would actively participate in climate-tech conferences, sustainability summits, startup demo days, and university entrepreneurship programs to build long-term relationships with founders and innovation communities.

This approach is more efficient than purely network-driven scouting because it creates a continuous pipeline of high-potential companies while reducing information asymmetry. Since the fund focuses on commercialization and early growth-stage investments, incubators and accelerators become ideal channels for identifying scalable businesses with strong future potential.

5. Most Important Screening Parameters

Among the various screening criteria involved in evaluating a company for investment, the two most important factors for my PE fund would be **market size and management quality**.

Market Size

Climate-tech businesses require large-scale adoption to become profitable and generate attractive investor returns. Therefore, the startup must operate in a significantly large and addressable market.

A large market increases scalability and creates opportunities for long-term revenue growth. For example, India's increasing energy demand, EV adoption, and sustainability targets create enormous opportunities for renewable energy and green infrastructure businesses.

Startups operating in these markets can expand rapidly if their solutions are commercially viable.

From an investor's perspective, large markets improve exit possibilities because strategic buyers and public market investors prefer scalable businesses with strong growth potential. Since PE investments generally involve longer holding periods and substantial capital deployment, scalability becomes a critical factor in achieving superior returns.

Management Quality

In early-stage and growth-stage investing, the quality of the founding and management team is often more important than the initial product itself. Climate-tech businesses operate in complex industries involving regulation, technology development, operational execution, and infrastructure scaling. Therefore, strong leadership becomes essential.

The management team should demonstrate technical expertise, adaptability, strategic vision, and execution capability. Founders must also possess the ability to attract talent, build partnerships, and manage capital efficiently during periods of uncertainty.

A capable management team can pivot during market challenges, optimize operations, and create sustainable competitive advantages. On the other hand, even strong technologies may fail due to weak execution and poor governance.

Therefore, evaluating leadership quality alongside market potential would form the foundation of the fund's investment screening process.